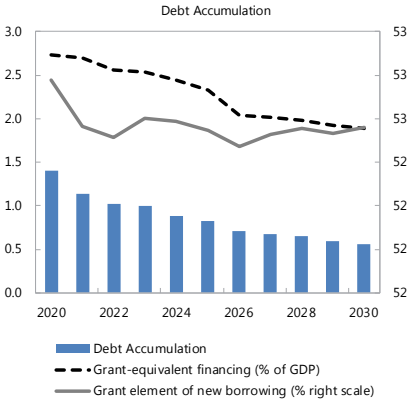
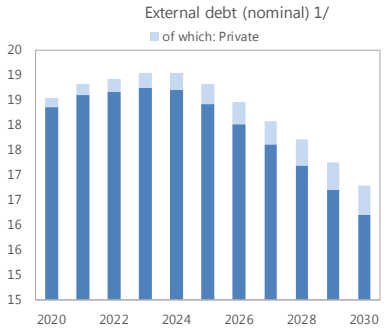
Table 1. Nepal: External Debt Sustainability Framework, Baseline Scenario, 2017-2040

(In percent of GDP, unless otherwise indicated)

	Actual	Projections							Average 8/	
	2019	2020	2021	2022	2023	2024	2025	2030	2040	Historical	Projections
External debt (nominal) 1/	**17.1**	**18.5**	**18.8**	**18.9**	**19.0**	**19.0**	**18.8**	**16.8**	**11.8**	**18.7**	**18.3**
of which: public and publicly guaranteed (PPG)	**17.0**	**18.3**	**18.6**	**18.7**	**18.7**	**18.7**	**18.4**	**16.2**	**10.8**	**18.7**	**17.9**
Change in external debt	-0.2	1.4	0.3	0.1	0.1	0.0	-0.2	-0.5	-0.6		
Identified net debt-creating flows	**6.4**	**3.8**	**3.5**	**3.4**	**3.3**	**3.1**	**2.9**	**1.9**	**1.6**	**-2.6**	**2.9**
Non-interest current account deficit	**7.6**	**5.0**	**4.8**	**4.7**	**4.6**	**4.4**	**4.2**	**3.4**	**2.8**	**-0.6**	**4.2**
Deficit in balance of goods and services	37.5	34.6	33.4	32.4	31.5	30.6	29.6	25.2	14.2	**29.8**	**29.7**
Exports	8.7	8.4	8.4	8.5	8.6	8.6	8.7	8.8	9.1		
Imports	46.2	42.9	41.8	40.9	40.1	39.2	38.3	34.0	23.3		
Net current transfers (negative = inflow)	-28.7	-28.2	-27.3	-26.4	-25.6	-24.9	-24.0	-20.5	-15.3	**-29.2**	**-24.1**
of which: official	-1.0	-1.1	-1.2	-1.2	-1.2	-1.2	-1.2	-1.1	-1.1		
Other current account flows (negative = net inflow)	-1.3	-1.3	-1.3	-1.3	-1.3	-1.3	-1.3	-1.3	4.0	**-1.2**	**-1.3**
Net FDI (negative = inflow)	**-0.4**	**-0.5**	**-0.5**	**-0.5**	**-0.5**	**-0.5**	**-0.6**	**-0.7**	**-0.7**	**-0.4**	**-0.6**
Endogenous debt dynamics 2/	**-0.8**	**-0.8**	**-0.8**	**-0.8**	**-0.8**	**-0.8**	**-0.8**	**-0.7**	**-0.5**		
Contribution from nominal interest rate	0.1	0.1	0.1	0.1	0.1	0.2	0.2	0.2	0.1		
Contribution from real GDP growth	-1.2	-0.9	-1.0	-0.9	-0.9	-0.9	-0.9	-0.8	-0.6		
Contribution from price and exchange rate changes	0.2	...	...	...	...	...	...	...	...		
Residual 3/	**-6.6**	**-2.4**	**-3.2**	**-3.3**	**-3.2**	**-3.1**	**-3.1**	**-2.4**	**-2.3**	**1.4**	**-2.9**
of which: exceptional financing	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Sustainability indicators											
PV of PPG external debt-to-GDP ratio	**12.2**	**12.2**	**12.2**	**12.1**	**12.0**	**11.9**	**11.6**	**10.0**	**6.7**		
PV of PPG external debt-to-exports ratio	**140.6**	**145.6**	**144.5**	**142.5**	**140.2**	**137.4**	**133.8**	**113.6**	**73.4**		
PPG debt service-to-exports ratio	**8.0**	**7.9**	**7.5**	**7.4**	**7.5**	**7.8**	**7.4**	**6.5**	**4.4**		
PPG debt service-to-revenue ratio	**2.8**	**2.7**	**2.6**	**2.6**	**2.7**	**2.8**	**2.6**	**2.4**	**1.7**		
Gross external financing need (Million of U.S. dollars)	2427.8	1829.9	1908.9	2058.8	2228.8	2354.2	2449.2	3038.8	6619.7		
Key macroeconomic assumptions											
Real GDP growth (in percent)	7.1	6.0	5.7	5.5	5.4	5.3	5.3	5.3	5.3	**4.9**	**5.4**
GDP deflator in US dollar terms (change in percent)	-1.3	4.8	3.8	3.6	3.4	3.2	3.8	3.5	3.5	**4.3**	**3.6**
Effective interest rate (percent) 4/	0.8	0.8	0.8	0.8	0.8	0.9	0.9	1.0	1.3	**0.9**	**0.9**
Growth of exports of G&S (US dollar terms, in percent)	2.5	7.7	10.2	9.9	10.0	9.5	9.9	9.3	9.4	**5.8**	**9.4**
Growth of imports of G&S (US dollar terms, in percent)	5.6	3.3	6.8	6.8	6.8	6.5	6.6	6.4	6.6	**12.9**	**6.3**
Grant element of new public sector borrowing (in percent)	...	52.6	52.5	52.5	52.6	52.5	52.5	52.5	52.4	**...**	**52.5**
Government revenues (excluding grants, in percent of GDP)	24.8	24.6	24.5	24.4	24.1	24.2	24.1	24.0	24.1	**19.3**	**24.2**
Aid flows (in Million of US dollars) 5/	368.3	933.8	1012.9	1050.0	1131.6	1185.1	1237.3	1537.4	2898.6		
Grant-equivalent financing (in percent of GDP) 6/	...	2.7	2.7	2.6	2.5	2.4	2.3	1.9	1.5	**...**	**2.3**
Grant-equivalent financing (in percent of external financing) 6/	...	66.5	70.8	71.7	71.7	72.3	73.2	75.3	84.6	**...**	**72.4**
Nominal GDP (Million of US dollars)	30690.3	34080.9	37381.9	40846.7	44498.5	48374.3	52868.1	81362.5	192701.7		
Nominal dollar GDP growth	5.7	11.0	9.7	9.3	8.9	8.7	9.3	9.0	9.0	**9.4**	**9.3**
Memorandum items:											
PV of external debt 7/	12.3	12.4	12.4	12.3	12.3	12.2	12.0	10.6	7.7		
In percent of exports	142.3	147.8	147.2	145.7	143.8	141.5	138.3	120.3	84.4		
Total external debt service-to-exports ratio	8.0	9.6	9.6	10.0	10.6	11.3	11.3	12.6	14.6		
PV of PPG external debt (in Million of US dollars)	3734.3	4163.6	4551.6	4934.0	5339.7	5734.3	6133.9	8136.4	12851.1		
(PVt-PVt-1)/GDPt-1 (in percent)		1.4	1.1	1.0	1.0	0.9	0.8	0.6	0.2		
Non-interest current account deficit that stabilizes debt ratio	7.8	3.6	4.5	4.6	4.5	4.4	4.5	3.8	3.5		

Definition of external/domestic debt	Currency-based
Is there a material difference between the two criteria?	No





Sources: Country authorities; and staff estimates and projections.

1/ Includes both public and private sector external debt.

2/ Derived as [r - g - ρ(1+g)]/(1+g+ρ+gρ) times previous period debt ratio, with r = nominal interest rate; g = real GDP growth rate, and ρ = growth rate of GDP deflator in U.S. dollar terms.

3/ Includes exceptional financing (ie. changes in arrears and debt relief); changes in gross foreign assets; and valuation adjustments. For projections also includes contribution from price and exchange rate changes. The residuals in this table are mainly related to reserve drawdown and net errors and omissions. For example, there were reserve drawdown of 4.2% of GDP and positive net E&Os of 2.7% of GDP in FY2018/19.

4/ Current-year interest payments divided by previous period debt stock.

5/ Defined as grants, concessional loans, and debt relief.

6/ Grant-equivalent financing includes grants provided directly to the government and through new borrowing (difference between the face value and the PV of new debt).

7/ Assumes that PV of private sector debt is equivalent to its face value.

8/ Historical averages are generally derived over the past 10 years, subject to data availability, whereas projections averages are over the first year of projection and the next 10 years.

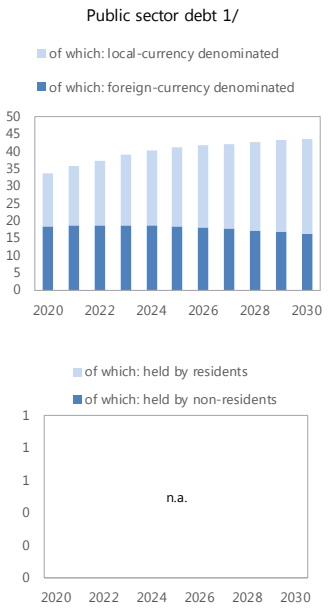
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Table 2. Nepal: Public Sector Debt Sustainability Framework, Baseline Scenario, 2017-2040

(In percent of GDP, unless otherwise indicated)

	Actual	Projections								Average 6/	
	2019	2020	2021	2022	2023	2024	2025	2030	2040	Historical	Projections
Public sector debt 1/	**30.1**	**33.7**	**35.7**	**37.4**	**39.0**	**40.3**	**41.1**	**43.6**	**46.3**	**30.6**	**40.1**
of which: external debt	**17.0**	**18.3**	**18.6**	**18.7**	**18.7**	**18.7**	**18.4**	**16.2**	**10.8**	**18.7**	**17.9**
	13.1	15.4	17.1	18.8	20.3	21.6	22.6	27.4	35.5		
Change in public sector debt	-0.2	3.6	2.0	1.7	1.6	1.3	0.8	0.4	0.0		
Identified debt-creating flows	**0.8**	**1.8**	**1.4**	**1.1**	**0.9**	**0.6**	**0.2**	**-0.1**	**-0.5**	**-2.0**	**0.5**
Primary deficit	**4.0**	**3.9**	**3.7**	**3.4**	**3.3**	**3.0**	**2.8**	**2.6**	**2.5**	**0.5**	**3.0**
Revenue and grants	26.0	25.8	26.0	25.8	25.5	25.6	25.5	25.2	25.3	**21.3**	**25.5**
of which: grants	1.2	1.2	1.5	1.4	1.4	1.4	1.4	1.2	1.2		
Primary (noninterest) expenditure	30.0	29.8	29.7	29.2	28.9	28.6	28.3	27.8	27.7	**21.9**	**28.5**
Automatic debt dynamics	**-3.2**	**-2.1**	**-2.3**	**-2.4**	**-2.4**	**-2.4**	**-2.6**	**-2.7**	**-3.0**		
Contribution from interest rate/growth differential	-2.5	-2.1	-2.3	-2.4	-2.4	-2.4	-2.6	-2.7	-3.0		
of which: contribution from average real interest rate	-0.5	-0.4	-0.5	-0.5	-0.5	-0.4	-0.6	-0.6	-0.6		
of which: contribution from real GDP growth	-2.0	-1.7	-1.8	-1.9	-1.9	-2.0	-2.0	-2.2	-2.3		
Contribution from real exchange rate depreciation	-0.7	...	...	...	...	...	...	...	...		
Other identified debt-creating flows	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**
Privatization receipts (negative)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Recognition of contingent liabilities (e.g., bank recapitalization)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Debt relief (HIPC and other)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Other debt creating or reducing flow (please specify)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Residual 7/	**-0.9**	**1.8**	**0.6**	**0.6**	**0.6**	**0.7**	**0.6**	**0.5**	**0.5**	**0.9**	**0.7**
Sustainability indicators											
PV of public debt-to-GDP ratio 2/	**24.9**	**27.8**	**29.5**	**31.0**	**32.4**	**33.6**	**34.4**	**37.6**	**42.3**		
PV of public debt-to-revenue and grants ratio	**95.7**	**107.4**	**113.4**	**120.2**	**126.9**	**131.3**	**134.8**	**149.1**	**167.4**		
Debt service-to-revenue and grants ratio 3/	**24.4**	**26.3**	**21.6**	**22.4**	**25.0**	**27.9**	**30.4**	**35.8**	**45.4**		
Gross financing need 4/	10.3	10.7	9.3	9.2	9.7	10.1	10.6	11.6	13.9		
Key macroeconomic and fiscal assumptions											
Real GDP growth (in percent)	7.1	6.0	5.7	5.5	5.4	5.3	5.3	5.3	5.3	**4.9**	**5.4**
Average nominal interest rate on external debt (in percent)	0.8	0.7	0.7	0.7	0.8	0.8	0.8	0.9	0.9	**0.9**	**0.8**
Average real interest rate on domestic debt (in percent)	-2.6	-1.9	-1.8	-1.7	-1.5	-1.2	-1.8	-1.5	-1.5	**-3.2**	**-1.6**
Real exchange rate depreciation (in percent, + indicates depreciation)	-4.7	...	...	...	...	...	...	...	...	**-2.2**	**...**
Inflation rate (GDP deflator, in percent)	6.8	6.0	5.9	5.8	5.6	5.3	5.9	5.6	5.6	**8.1**	**5.7**
Growth of real primary spending (deflated by GDP deflator, in percent)	2.2	5.2	5.4	3.8	4.1	4.2	4.5	5.3	5.3	**10.6**	**4.7**
Primary deficit that stabilizes the debt-to-GDP ratio 5/	4.1	0.3	1.7	1.7	1.7	1.7	2.0	2.2	2.5	**3.5**	**1.8**
PV of contingent liabilities (not included in public sector debt)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		

Definition of external/domestic debt	**Currency-based**
Is there a material difference between the two criteria?	**No**



Sources: Country authorities; and staff estimates and projections.

1/ Coverage of debt: The central, state, and local governments plus extra budgetary funds, central Bank, government-guaranteed debt, non-guaranteed SOE debt . Definition of external debt is Currency-based.

2/ The underlying PV of external debt-to-GDP ratio under the public DSA differs from the external DSA with the size of differences depending on exchange rates projections.

3/ Debt service is defined as the sum of interest and amortization of medium and long-term, and short-term debt.

4/ Gross financing need is defined as the primary deficit plus debt service plus the stock of short-term debt at the end of the last period and other debt creating/reducing flows.

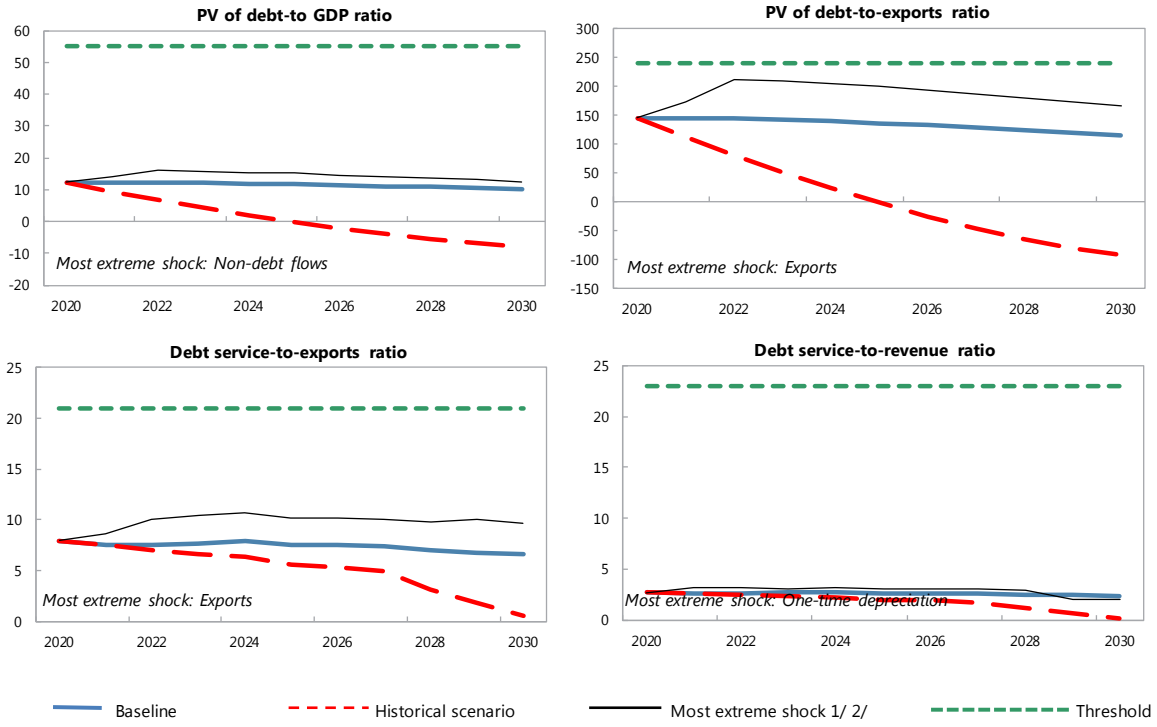
5/ Defined as a primary deficit minus a change in the public debt-to-GDP ratio ((-): a primary surplus), which would stabilizes the debt ratio only in the year in question.

6/ Historical averages are generally derived over the past 10 years, subject to data availability, whereas projections averages are over the first year of projection and the next 10 years.

7/ The residuals in this table are mainly related to net acquisition of financial assets. For example, the projection of net acquisition of financial assets in FY2019/20 is 1.6% of GDP.

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Figure 1. Nepal: Indicators of Public and Publicly Guaranteed External Debt under Alternatives Scenarios, 2020-2030



Customization of Default Settings	Size	Interactions
Tailored Stress		
Combined CL	No	
Natural disaster	No	No
Commodity price	n.a.	n.a.
Market financing	n.a.	n.a.

Note: "Yes" indicates any change to the size or interactions of the default settings for the stress tests. "n.a." indicates that the stress test does not apply.

Borrowing assumptions on additional financing needs resulting from the stress tests*	Default	User defined
Shares of marginal debt		
External PPG MLT debt	100%	
Terms of marginal debt		
Avg. nominal interest rate on new borrowing in USD	0.9%	0.9%
USD Discount rate	5.0%	5.0%
Avg. maturity (incl. grace period)	37	37
Avg. grace period	6	6

* Note: All the additional financing needs generated by the shocks under the stress tests are assumed to be covered by PPG external MLT debt in the external DSA. Default terms of marginal debt are based on baseline 10-year projections.

Sources: Country authorities; and staff estimates and projections.

1/ The most extreme stress test is the test that yields the highest ratio in or before 2030. The stress test with a one-off breach is also presented (if any), while the one-off breach is deemed away for mechanical signals. When a stress test with a one-off breach happens to be the most exterme shock even after disregarding the one-off breach, only that stress test (with a one-off breach) would be presented.

2/ The magnitude of shocks used for the commodity price shock stress test are based on the commodity prices outlook prepared by the IMF research department.

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